

## THE NETHERLANDS

2016

### Table of Contents

|                                                                                     |    |
|-------------------------------------------------------------------------------------|----|
| 1. Overview of the tax-benefit system .....                                         | 1  |
| 2. Unemployment insurance .....                                                     | 2  |
| 3. Unemployment assistance .....                                                    | 6  |
| 4. Social assistance .....                                                          | 7  |
| 5. Housing benefits .....                                                           | 12 |
| 6. Family benefits .....                                                            | 16 |
| 7. Childcare.....                                                                   | 19 |
| 8. Employment-conditional benefits.....                                             | 21 |
| 9. Lone-parent benefits .....                                                       | 22 |
| 11. Tax system .....                                                                | 24 |
| 12. Part-time work.....                                                             | 29 |
| 13. Policy developments .....                                                       | 30 |
| ANNEX DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.....            | 31 |
| Social security contributions to general government .....                           | 31 |
| Social security contributions paid to institutions outside general government ..... | 31 |
| Payroll taxes.....                                                                  | 31 |

#### 1. Overview of the tax-benefit system

Dutch social security provides several incomes replacement schemes under the employee's insurance act (e.g. unemployment insurances), the national insurance act (e.g. child benefits) and the Act for work and social assistance. Earnings related unemployment insurance pays 75% (first two months) and 70% for the remaining months of the last earned wage for a period of time dependent on employment record. Supplements are available for those whose benefits are lower than the minimum income. After the unemployment benefit expires, social assistance is available conditional on a means test and registration at the job office. A system of family related benefits is universally available. Housing costs can be covered by a separate individual benefit. Unemployment and social assistance are taxable, family and housing benefits are not. Earnings related benefits are based on gross earnings. In general, the information refers to the situation on 1st January and 1st July 2014.

### 1.1. Average Worker wage (AW<sup>1</sup>)

The national currency is the Euro (EUR). In 2016, EUR 0.90 was equal to USD 1. In this year, the average worker earned EUR 50 853 (Secretariat estimate).

## 2. Unemployment insurance

The unemployment benefit (WW) includes two types of benefits:

1. the earnings related short-term benefit (max. 3 months)

If one has also worked at least 52 days or more during four of the last five years one receives after 3 months

2. the earnings related benefit 4 months up to 38 months depending on employment record)

The unemployment benefits might be supplemented by the “Supplementary Benefits Act” (TW), if the benefit is below minimum income.

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

|                                                          |                                                                         |                                                                                                                                               |
|----------------------------------------------------------|-------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Program name (local name)                                |                                                                         | Unemployment insurance: short-term benefit and medium-term benefit (Werkloosheidswet)                                                         |
| Insurance is voluntary(V) or compulsory(C) for employees |                                                                         | C                                                                                                                                             |
| Employment record (E) and contribution (C) conditions    |                                                                         | E + C for short-term benefit: 26 weeks in last 36 weeks<br>E + C for medium-term benefit: 26 weeks in last 36 weeks and 4 out of 5 last years |
| Waiting period (days)                                    |                                                                         | 0                                                                                                                                             |
| Maximum duration (months)                                |                                                                         | 38 (gradually reduced to 24 months)                                                                                                           |
| Uprating mechanism of the benefit                        |                                                                         | The benefit is indexed twice a year (January 1st and July 1st).                                                                               |
| Calculation of unemployment insurance benefit:           | benefit as % of calculation base                                        | 75% first 2 months                                                                                                                            |
|                                                          | benefit at the end of legal entitlement period in % of calculation base | 70% starting from third month                                                                                                                 |
|                                                          | Calculation base(1)                                                     | Gross                                                                                                                                         |

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration ([www.oecd.org/ctp](http://www.oecd.org/ctp)). For more information on methodology see Taxing Wages 2009-2010, OECD, 2011, part IV,

|                                                                 |                                                                                   |                                                                                                                                                        |
|-----------------------------------------------------------------|-----------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                 | Permitted employment and disregards when receiving unemployment insurance benefit | From 1 July 2015 there is a deduction of the earned income for 70%; if total earnings exceed 87.5% of last monthly wage the right to benefit will end. |
| Benefit provision (eligibility (E), generosity (G)) varies with | Age                                                                               | n.a.                                                                                                                                                   |
|                                                                 | family situation                                                                  | n.a.                                                                                                                                                   |
|                                                                 | contract type                                                                     | n.a.                                                                                                                                                   |
|                                                                 | other                                                                             | n.a.                                                                                                                                                   |

*Notes:*

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Entitlement to unemployment benefits dependent on the claimant seeking employment and being registered with the local employment agency.

## 2.1 *Conditions for receipt*

### 2.1.1 *Employment conditions*

- *Earnings-related benefit*: to have worked 26 weeks in the last 36 weeks immediately preceding unemployment, plus to have worked during four of the last five years. A year is counted when the person has worked 52 days a year before 2013 or 208 hours a year as from 2013. Calendar years during which the person cared for children under 5 count for 50% of this requirement. From 2007 onwards years spend on intensive care for ill or handicapped people also count for 50% of labour years.
- *Short-term earnings-related benefit* 26 weeks in the last 36 weeks immediately preceding unemployment.

### 2.1.2 *Contribution conditions*

- Insurance is compulsory for employees. See above for conditions

## 2.2 *Calculation of benefit amount*

### 2.2.1 *Calculation of gross benefit*

Salary-related unemployment benefit is 75 or 70 per cent of former gross earnings up to a maximum daily wage of EUR 203.85 per day (5 days per week, (1 July 2016).

In the first two months you will receive 75% of the wage most recently earned, thereafter 70%.

#### **Gross minimum wage per month, 2016 (in EUR)**

| The gross minimum<br>the gross minimum | Including holiday pay |         | holiday pay is 8% of<br>wage. |
|----------------------------------------|-----------------------|---------|-------------------------------|
|                                        | Year                  |         |                               |
|                                        | 1537.20               | 1660.18 |                               |

### *Supplementary Benefits Act (TW)*

The TW provides assistance to people who get a benefit from one of the employee insurance schemes (such as the WW, WAO, or ZW schemes) if their income (plus that of their partner) falls below the minimum guaranteed income (this being the gross legal minimum wage plus 8 per cent holiday pay divided by 21.75).

Supplementary benefit equals the difference between the applicable minimum guaranteed income level and the total income of the beneficiary and his or her partner.

#### **The minimum guaranteed incomes were set as the following gross amounts**

| <b>Family situation</b>                     | <b>Per cent of minimum wage</b> |
|---------------------------------------------|---------------------------------|
| Single person                               | 70%                             |
| Married persons and couples living together | 100%                            |

The term “income” covers all work-related earnings, including most social security benefits, of claimants and their partner. Any property such as a private home, or capital such as savings, is disregarded.

For two years at most, part of the work-related income (up to a maximum of 15% of the minimum wage) is disregarded. The maximum period of two years does not account for persons older than 57.5 years.

Supplementary benefit will never be more than the difference between the daily earnings or the basis on which the benefit has been calculated and the benefit to recompense for loss of income.

There is no entitlement to supplementary benefit:

- For unmarried persons under 21 living with their parents.
- For persons living with a partner (either married or not) born after 31 December 1971 who do not have any children under 12 living at home.

#### **2.2.2 *Income and earnings disregards***

If the claimant works less than 5 hours/week, gross benefit is reduced by 70 per cent of gross earnings.

If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked.

#### **2.3 *Tax treatment of benefit and interaction with other benefits***

Taxable

#### **2.4 *Benefit duration***

The duration of the earning-related benefit varies with the employment record. In this table it is assumed that the person has been working full time from 18 years of age onwards. The maximum duration is gradually reduced to 24 months. And starting from 1 January 2016 after 10 employment years the unemployment benefit is prolonged with 0,5 month per year.

### Duration of the benefit

| Employment<br>(years) | Duration               |
|-----------------------|------------------------|
| 1                     | 3 months               |
| 2                     | 3 months               |
| 3                     | 3 months               |
| 4                     | 4 months               |
| 5                     | 5 months               |
| 6 to 38 and higher    | 6 to maximum 38 months |

Short-term benefit: 3 months.

## 2.5 *Treatment of particular groups*

### 2.5.1 *Young persons*

None.

### 2.5.2 *Older workers*

Benefit stops with the person reaches pensionable age (which is increasing until 67 years in steps).

Starting the first of December 2009 a temporary arrangement (IOW) is in place for the unemployed older than 60 years who have become or will become unemployed between 30 September 2006 and the 1<sup>st</sup> of January 2020. The right starts after the UB is exhausted. The benefit is at the level of 70% of the minimum wage except if the previous benefit was lower. The benefit lasts until pensionable age. The IOW does not take into account the income of the partner, and equity of the household.

### 2.5.3 *Others if applicable, including Disabled*

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

### **3. Unemployment assistance**

#### **3.1 Conditions for receipt**

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

#### **3.2 Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards*

#### **3.3 Tax treatment of benefit and interaction with other benefits**

#### **3.4 Benefit duration**

#### **3.5 Treatment of particular groups**

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

**4. Social assistance**

The Dutch Participation Act guarantees a minimum income to any Dutch inhabitant who does not have sufficient means of existence. Beneficiaries are mainly persons who are no longer entitled to benefits under the social insurance schemes such as unemployment insurance benefits and disability benefits and persons without a work record.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

|                                                                 |                                                                                                       |                                                                                                                                        |
|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| Program name (local name)                                       |                                                                                                       | Participation Act (Participatiewet))                                                                                                   |
| Age condition for social assistance receipt                     |                                                                                                       | > 18 (if not a lone parent)                                                                                                            |
| Legal behavioural requirements                                  | Registration as unemployed(1)                                                                         | Yes                                                                                                                                    |
|                                                                 | Participation in integration measures                                                                 | Yes                                                                                                                                    |
|                                                                 | Active job search(1)                                                                                  | Yes                                                                                                                                    |
|                                                                 | Work requirement(1)                                                                                   | Yes                                                                                                                                    |
|                                                                 | Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT)) | Mandatory participation (tegenprestatie)                                                                                               |
|                                                                 | Legal behavioural requirements for adult family members other than the benefit claimant               | Job-search and work-availability obligations extend also to spouse or cohabiting partner of the benefit claimant.                      |
| Determination of benefit levels                                 |                                                                                                       | National                                                                                                                               |
| Uprating mechanism of the benefit                               |                                                                                                       | The benefit is indexed twice a year (January 1st and July 1st)                                                                         |
| Other supplements to basic benefit (per family)                 |                                                                                                       | Holiday allowance                                                                                                                      |
| Means-test for social assistance                                | Earnings disregards                                                                                   | None in general; municipality may grant disregard of 25% of earnings up to a maximum of EUR 201 per month in first 6 months in new job |
|                                                                 | Benefit withdrawal rate with regard to earned income                                                  | 100%                                                                                                                                   |
|                                                                 | Assets included in means test?                                                                        | Yes                                                                                                                                    |
|                                                                 | Other benefits included in the means test                                                             | Benefits are included except for family and individual housing and health allowance                                                    |
| Benefit provision (eligibility (E), generosity (G)) varies with | age                                                                                                   | G: - if <21 years                                                                                                                      |
|                                                                 | family situation                                                                                      | G: - for every additional co-inhabitant (cost sharing norm). Exceptions: <21, students, and commercial relations.                      |
|                                                                 | over time                                                                                             | n.a.                                                                                                                                   |

|  |       |                                                                                                                                                                  |
|--|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | other | Municipalities can offer earnings disregard to lone parents older than 27 when they return to work: 25% of earnings in first 6 months; 12.5% for first 30 months |
|--|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|

Notes:

1. Conditions for healthy working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme (see Section 4.2.2 for more details):

|                                                 |                                                   |                                                                                                                                        |
|-------------------------------------------------|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| Program name (local name)                       |                                                   | Social assistance means test at discretion of municipality                                                                             |
| Type of employment-conditional benefit          |                                                   | Lower benefit withdrawal rate at discretion of municipality                                                                            |
| Beneficiaries of employment-conditional benefit |                                                   | Social assistance recipients starting work                                                                                             |
| Eligibility and calculation criteria            | Time dependency of employment-conditional benefit | 6 months                                                                                                                               |
|                                                 | Child-based condition                             | No                                                                                                                                     |
|                                                 | Influence of number of children on benefit amount | No                                                                                                                                     |
|                                                 | Working hour criterion                            | No                                                                                                                                     |
|                                                 | Transition criterion                              | No                                                                                                                                     |
|                                                 | Minimum earnings criterion for eligibility        | No                                                                                                                                     |
| Uprating mechanism of the benefit               |                                                   | --                                                                                                                                     |
| Benefit calculation(1)                          | Income assessment unit(2)                         | Gross                                                                                                                                  |
|                                                 | (Maximum) benefit amount                          | None in general; municipality may grant disregard of 25% of earnings up to a maximum of EUR 201 per month in first 6 months in new job |
|                                                 | Phase-in rate                                     | --                                                                                                                                     |
|                                                 | Phase-out rate                                    | --                                                                                                                                     |

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

#### **4.1 Conditions for receipt**

Conditions for receipt of social assistance are in general:

- Persons legally residing in the Netherlands with inadequate financial resources to meet their essential living costs
- .

Social assistance is a supplementary allowance that can be used for topping up for instance low unemployment benefits or low income by working.

## 4.2 *Calculation of benefit amount (PM Maarten)*

General social assistance payments are intended to cover normal costs of living, including the costs of food, housing, heating, furniture and recreation. The Dutch national government specifies three minimum basic benefit payment rates. There are three basic rates for persons between 21 and pension age related to family composition.

### 4.2.1 *Calculation of gross benefit*

#### **General social assistance (Participatiewet) in 2016**

| Family situation     | Proportion of the subsistence minimum | Gross yearly benefit incl. Holiday allowance | Corresponding net yearly benefit |          |
|----------------------|---------------------------------------|----------------------------------------------|----------------------------------|----------|
|                      |                                       |                                              | Holiday allowance: Excluded      | included |
| Couples              | 100%                                  | 19333                                        | 15808                            | 16751    |
| Single, 21 or older* | 70%                                   | 14946                                        | 11139                            | 11726    |

\* Figures include 20% awarded by municipalities

#### 4.2.1.1 *Irregular additional payments*

Municipalities may provide once or twice bonus, a year up to max EUR 2376, to stimulate (activities towards) work acceptance.

#### 4.2.1.2 *Obligations of family members*

The obligations of job-search and work-availability extend also to the spouse or cohabiting partner of the benefit claimant. Claimant and spouse have a shared responsibility for their means of existence. When spouse or partner does not comply with the obligations the municipality may reduce or stop the allowance.

### 4.2.2 *Income and earnings disregards*

General assistance: no disregards; one-to-one income-test using the household net income. Family benefits and individual housing benefits are excluded from the income-test. Savings and assets worth over EUR 5920 (EUR 11840 for couples and lone parents) are taken into account. The own dwelling is disregarded only up to a certain maximum EUR 49900. If the value of the house minus the mortgage exceeds this maximum, the recipient can get social assistance as a loan.

The exception to the rule of the one-to-one income test is for social assistance recipients who start working. The municipality can decide that a social assistance recipient is allowed to keep a certain amount of earnings from work: during 6 month 25% of the earnings up to a maximum of EUR 198 per month. It is up to the municipality to decide this and to decide the level of disregard. After six month the general rule of one-to-one income testing is resumed.

Disregarded are always: a bonus for assistance recipients to stimulate (activities towards) work acceptance (up to EUR 2376) and compensation payments for voluntary work up to €150 a month with a maximum of € 1500 a year)

#### **4.3 Tax treatment of benefit and interaction with other benefits**

The level of general assistance is defined on its net value; a net income level is guaranteed.

The income taxes on the social assistance benefit are not paid by the recipient, who thus receives a net benefit, but are transferred to the tax inspector by the municipality that is administering the benefit.

#### **4.4 Benefit duration**

General assistance (Participation Act): as long as there is a need. Once benefits have expired, one can re-apply when the need occurs again.

#### **4.5 Treatment of particular group**

##### **4.5.1 Young persons**

Young people until 27 years of age are deemed to be in work or education. Furthermore, until the age of 21 parents are supposed to provide financial support to their children. Therefore, municipalities are only obliged to provide benefits to applicants in this age group in exceptional circumstances. There is a waiting period of 4 weeks in which the claimant younger than 27 years of age is required to look for work and education and in which the claimant is not yet entitled to social benefits. The benefit claim is refused if there are opportunities in the regular education system (Student Finance Act) for the claimant.

| <b>General national assistance for young persons in 2016</b> | <b>Net yearly benefit<br/>Excluding holiday pay</b> | <b>Net yearly benefit<br/>Including holiday pay</b> | <b>Gross yearly benefit<br/>Including holiday pay</b> |
|--------------------------------------------------------------|-----------------------------------------------------|-----------------------------------------------------|-------------------------------------------------------|
| Single < 21 years with children                              | 2750                                                | 2894                                                | 2894                                                  |
| One is >21 years and one is <21, with children               | 13889                                               | 14620                                               | 15975                                                 |
| Both <21 years old, with children                            | 8682                                                | 9139                                                | 9139                                                  |
| Single <21 years, no children                                | 2750                                                | 2894                                                | 2894                                                  |
| Both <21 no children                                         | 5499                                                | 5789                                                | 5789                                                  |
| One>21 one<21, no children                                   | 10706                                               | 11270                                               | 11270                                                 |

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

Lone parents must start looking for work if their youngest child is 5 years or older. If the child is 5 years old or younger the lone parent may request dispensation from the obligation to look for work. The parent is however obliged to attend training courses. All income is taken into account. However for claimants aged 27 or older 25% of income from work can be left untouched during the first 6 months of entitlement. Additionally lone parents aged 27 or older can earn up another 12,5% during a period of 30 months. It is up to the municipality to decide this and to decide the level of disregard.

## 5. Housing benefits

Housing benefit is based on rent levels restricted by minima and maxima and dependent of taxable family income. Housing benefits must be applied for separately from social assistance. They are also separately paid and calculated from social assistance benefits. However, the social assistance income level is generally that low that all benefit recipients should be entitled to housing benefits as well, if they apply for it. Housing benefits will be calculated from the social assistance benefit or the gross unemployment benefit as reference for the income.

Overview of housing benefits (for greater detail refer to Chapter 5):

|                                                |                                        |                     |                                                                                                                                                                                                                                                                            |
|------------------------------------------------|----------------------------------------|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Regular housing benefits                       | Program name (local name)              |                     | Housing benefit (Huurtoeslag)                                                                                                                                                                                                                                              |
|                                                | Entitlement depends on                 | Household type/size | Yes                                                                                                                                                                                                                                                                        |
|                                                |                                        | Income              | Yes                                                                                                                                                                                                                                                                        |
|                                                |                                        | Dwelling size       | No                                                                                                                                                                                                                                                                         |
|                                                |                                        | Geographic location | No                                                                                                                                                                                                                                                                         |
|                                                |                                        | Actual rental cost  | Yes                                                                                                                                                                                                                                                                        |
|                                                | Description of regular housing benefit |                     | Benefit for low-income households based on current rent levels and taxable income. Households have to pay part of rent ("standard rent") themselves; benefit covers 100% above this up to "quality allowance limit" paid by benefit plus 65% of remainder up to a ceiling. |
|                                                | Uprating mechanism of the benefit      |                     | The benefit is uprated once a year. The parameters used depend on rent, price and income.                                                                                                                                                                                  |
| Housing related support through other benefits |                                        |                     | No                                                                                                                                                                                                                                                                         |

### 5.1 Conditions for receipt

All families, whether dependents are present or not, are eligible.

### 5.2 Calculation of benefit amount

#### 5.2.1

Housing benefit is based on current rent levels and taxable income. The underlying principle is that every household always pays part of the rent itself. This is referred to as the "standard rent" (basishuur). In 2016 the monthly standard rent for people with a minimum income was EUR 228.24 (households with two or more people older than the age of retirement), EUR 230.05 (a person older than the age of retirement living alone) and EUR 231.87 (households only containing people under the age of retirement). There was a higher standard rent for people with a higher income.

**Minimum income in housing subsidy calculations (minimum standard rent up until above these income the formula applies).**

|                                            | <b>2014</b> | <b>2015</b> | <b>2016</b> |
|--------------------------------------------|-------------|-------------|-------------|
| Single household < age of retirement       | 15025       | 15175       | 15400       |
| More persons household < age of retirement | 19400       | 19625       | 19925       |
| Single household > age of retirement       | 16425       | 16550       | 16900       |
| More persons household > age of retirement | 22025       | 22150       | 22625       |

## **The process for awarding housing benefits 2016**

### **Step 1: Determines the kind of household**

The standard rent (basishuur) is the minimum amount of rent a household has to pay themselves. It depends on the size of the household and the age of the inhabitants. The following kinds of households are defined:

- Single person household (single on 1-1-2016 younger than the age of retirement);
- More person household (min 2 persons; primary earner younger than the age of retirement on 1-1-2016)
- Single person household (single older than the age of retirement on 1-1-2016)
- More person household (min 2 persons; primary earner older than the age of retirement on 1-1-2016).

The composition of the household and the age of the inhabitants is of importance for the own contribution (standard rent or basishuur) and the capping limit (aftoppingsgrens; the level at which no subsidy or only 40% of the subsidy can be awarded) and the maximum means level (vermogensgrens). The age of retirement is settled at the age of 65 years and 6 months in 2016.

### **Step 2: Determines the capping limit (aftoppingsgrens)**

The capping limit for a full benefit is the rent above which level in principle no subsidy is paid. For a one- or two person household the maximum rent level is EUR 586.68, for a household with 3 or more persons it is EUR 628.76.

If the rent is higher than the capping limit, only 40% rent subsidy is paid for the exceeding amount, and only if it considers a single person household or a household with at least one person above the retirement age or a handicapped person in adjusted accommodation. Monthly house rents up to EUR 710.68 qualify for housing benefits.

Note, the maximum rent level for a person younger than 23 years is EUR 409.92.

### **Step 3: Determines the calculated income**

In order to determine the rent subsidy a specific calculated income (rekeninkomen) is estimated. This is the total taxable income of the persons belonging to the household in the current year (2016) including:

Taxable income:

- income from work and accommodation
- rent from capital income
- interests

Afterwards, the (estimated) taxable income is confronted with actual taxable income. The difference in actual and estimated income may lead to a different rent subsidy, which will be recalculated and settled with the receiver.

#### Step 4: determine the standard rent

All income of the household is summarized. For children up to 23 years an amount of EUR4773 is excluded from the calculations.

The standard rent has to be calculated with a formula. The formula is:

$$\text{Standard rent} = a \cdot Y + b \cdot Y$$

In which Y = taxable household income, and

a and b are for the different household types:

|                                         | <b>a</b>       | <b>b</b>        |
|-----------------------------------------|----------------|-----------------|
| Single household < retirement age       | 0.000000720374 | 0.002180910066  |
| More persons household < retirement age | 0.000000410057 | 0.00208958009   |
| Single household > retirement age       | 0.000001040487 | -0.005595475431 |
| More persons household > retirement age | 0.000000618093 | -0.005109221721 |

#### Step 5: Determine the calculated rent (rekenhuur)

A specific calculated rent will be calculated which forms the basis for the rent subsidy. This amount is depending on a number of factors, such as upkeep costs.

#### Step 6: Calculate the amounts to be subsidized at 100%, 65%, and 40%

Three levels of benefit are paid in the case of rents above the standard rent:

- The difference between the standard rent and the “quality allowance limit” (EUR 409.92 in 2016) is paid completely (=100%).
- 65% of the costs of any additional rent above the “quality allowance limit” is paid. The idea behind this is that people should pay a contribution if they rent a more expensive (and therefore better quality) home.
- The amount by which the rent exceeds the “cap” (in 2016 this is EUR 586.68 for one and two person households and EUR 628.76 for three or more person households) is only eligible for benefit in the case of people older than the retirement age, people living alone and the handicapped. They receive benefit amounting to 40%.

Monthly house rents up to EUR 710.68 qualify for housing benefits.

#### 5.2.2 *Income and earnings disregards*

Households are eligible for housing benefits if their income is lower than EUR 22 100 for a single younger than the retirement age, or EUR 30 000 for a household (highest earner must be younger

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

than the retirement age), or EUR 22 100 for a single older than the retirement age, or EUR 30 050 for a household if the highest earner is older than the retirement age.

Next, their capital must be lower than EUR 24 437 for a single or EUR 48 874 for a household.

#### 5.2.3 *Costs eligible for housing benefits*

Monthly house rents up to EUR 710.68 qualify for housing benefits.

#### 5.3 ***Tax treatment of benefit***

Not taxable

#### 5.4 ***Treatment of particular groups***

##### 5.4.1 *Young persons*

The maximum rent level above which benefits cannot be calculated are EUR 409.92, per month for persons under 23.

##### 5.4.2 *Older workers*

None.

##### 5.4.3 *Others, including disabled*

Disabled living in houses adjusted to their needs, can receive higher housing benefits than others. If rent exceeds EURO 710.68, disabled can get housing benefits (unlike other households) up to the amount of the usual maximum rent of EURO 710.68. No subsidy is paid for the rent exceeding the level of EURO 710.68. Also the amount by which the rent exceeds the “cap” (in 2016 this is EUR 586.68 for one and two person households and EUR 628.76 for three or more person households) is also eligible for 40% benefit in the case of handicapped living in two or more person households (unlike other two or more person households).

**6. Family benefits**

Overview of family and lone parent benefits (for greater detail refer to Chapters 6, 8 and 10):

| Program name (local name)         |                                                                                                                   |                    | Family benefit (kinderbijslag AKW) | Additional family benefit |
|-----------------------------------|-------------------------------------------------------------------------------------------------------------------|--------------------|------------------------------------|---------------------------|
| Type of benefit                   |                                                                                                                   |                    | Universal                          | Targeted                  |
| Eligibility criteria              | Age limits for children (in parentheses if student)                                                               |                    | 17                                 | 17                        |
|                                   | Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))             |                    | None                               | None                      |
| Uprating mechanism of the benefit |                                                                                                                   |                    | --                                 | --                        |
| Benefit amount                    | Benefit amount per child varies with (where +: increase; -: decrease; 0: no change; +/-: decrease or increase)(1) | Age of child       | +                                  | +                         |
|                                   |                                                                                                                   | Number of children | 0                                  | -                         |
| Means test                        | Earnings part of means test?                                                                                      |                    | --                                 | Yes                       |
|                                   | Earnings disregard                                                                                                |                    | --                                 | EUR 19 759                |
|                                   | Withdrawal rate of the benefit                                                                                    |                    | --                                 | 6,75 %                    |
|                                   | Assets part of means test?                                                                                        |                    | --                                 | Yes                       |

*Notes:*

1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.
2. Assuming children born after 1 January 1995.

**6.1 Conditions for receipt**

All children under 18 qualify for child benefits.

**6.2 Calculation of benefit amount****6.2.1 Calculation of gross benefit***The General Child Benefit Act*

The General Child Benefit Act (AKW) offers people living and/or working in the Netherlands a financial allowance (child benefit) for the costs of care and maintenance of children up to the age of 18. The amount of the child benefit depends on the age of the child. With regard to children born before 1 January 1995 the size of the family is also taken into account.

Double amounts can be paid if the child is not living at home because of study or disability if the conditions of the General Child Benefit Act (*Algemene Kinderbijslagwet, AKW*) are met, or if the parent(s) provide home care for their severely disabled child (aged 3 to 18) in need of extensive care. A single parent or single earner providing home care receives an extra amount of €2 005.99 a year (2016).

Amount of the child benefit is payed per quarter

**On July 1<sup>st</sup> 2016:**

Aged 0-5 € 197,51

Aged 6-11 € 239,84

Aged 12-17 € 282,16

Every six months the child benefit amounts can be adjusted to the price developments.

An **additional child benefit** was introduced in 2008. Parents who receive child benefits for children up to the age of 18 can qualify for *WKB* if their income and their capital do not exceed a certain ceiling. The *WKB*-amount depends on the income of the parent(s), the number of children and the age of the children. For children between 12 and 18 there is an extra allowance. Parents whose household income does not exceed €19,463 receive the maximum amount of *WKB*. The benefit amount decreases as income rises.

*WKB* is not payable if the household income is above a certain ceiling per year

The benefit has a maximum value per year. The maximum amounts are:

The maximum monthly amounts of the allowance per child are (2016):

1<sup>st</sup> child: € 86.50

2<sup>nd</sup> child: € 69.00

3<sup>rd</sup> child: € 23.67

4<sup>th</sup> child and further: € 23.67

The maximum amounts of the extra allowance are:

12-15 years: € 19.42

16-17 years: € 34.58

Single parents receive an additional benefit up to a maximum of € 3 066 per year (in 2016).

The child-related allowance is paid in advance on a monthly basis.

The benefit is withdrawn at a rate of 6.75% when the family's yearly taxable income exceeds EUR € 19 759

**6.2.1.1** *Irregular additional payments*

**6.2.2** *Income and earnings disregards*

These benefits are not income related; they are not included in any means test.

**6.3      *Tax treatment of benefit and interaction with other benefits***

Not taxable.

**6.4      *Treatment of particular groups***

**6.4.3      *Others if applicable, including disabled***

Double amounts of the General Child Care (AKW) can be paid if the child is not living at home because of study or disability if the conditions of the General Child Benefit Act (AKW) are met, or if the parent(s) provide home care for their severely disabled child ( aged 3 to 18) in need of extensive care. A single parent or single earner who provide home care receives an extra amount of €1460 a year (2015).

## **7. Childcare**

### **7.1 Out-of-pocket childcare fees paid by parents**

#### **Childcare Act 2005**

A new law, the Childcare Act, went into effect on January 1st 2005. This law reformed the childcare system. ‘Demand-side funding’ provided via parents replaced ‘supply-side funding’ mainly provided by the municipal authorities. The direct subsidising of facilities has ceased as a result. This means that childcare organisations are subject to market forces. Childcare facilities compete in terms of price and quality, since parents will be able to opt for a different care establishment if the price is too high or if the quality is found wanting. This law applies to day care centres (0-4 years), day care outside school hours (4-12 years) and family day care. Primary education starts at 4 years and is mandatory at 5.

In 2013 43% of the children in the age up to 4 years visit *subsidized* day care and 21% of the children in the age of 4-12 years visits *subsidized* after-school care.<sup>2</sup>

#### *Finance*

The Childcare Act provides for a new method of financing childcare. The act assumes that parents, employers and government collectively bear the costs of childcare. The employer’s contribution was meant to be voluntary and part of collective labour agreements. The target figure was that in 2008 90% of employees would be able to receive a full contribution for childcare from their employer. Monitoring of the development of collective labour agreements on employer’s contributions to childcare led to the conclusion that this target would not be reached. Therefore an obligatory employer’s contribution was introduced in 2007. Since 2006 the costs for parents have been reduced by increasing the subsidy from the government. On a macro-level, parents (all together) pay 40% of the costs, the government and employers about 60% in 2013.

Through the Tax Department parents receive the subsidy that the government contributes to childcare themselves, this includes also the employer’s contribution. The amount parents receive depends on their income and varies from 90.7% of the costs to 0% for the first child, and varies from 93.3% of the costs to 58.2% for next children.

### **7.2 Child-care benefits**

Parents pay the costs for childcare themselves, and receive a subsidy from the government (the ‘child-care benefit’). The child-care benefit is calculated as a percentage of the total costs of the childcare and varies with the income of the parents: the lower the income, the higher the benefit. The benefit starts with a contribution of 90.7% of the costs at an annual income up to € 17 229 (minimum-income) going down in 50 steps to 0% at an income more than € 118.189 for the first child; and a contribution of 93.3% of the costs at an annual income up to € 19 523 going down in 69 steps to 58.2% at an income more than € 168 160 for next children.

See table for the average costs for parents per hour on three different levels of income:

---

<sup>2</sup> In 2013 for families with a total income from 118.189 euro the first child in child-care was not subsidized, in contrary to the forgoing years. Only subsidized children in child-care are registered.

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

|                                                                               | 2007   | 2008   | 2009   | 2010   | 2011  | 2012  | 2013  | 2014  | 2015  | 2016 |
|-------------------------------------------------------------------------------|--------|--------|--------|--------|-------|-------|-------|-------|-------|------|
| Average costs per hour for daycare                                            | €5.65  | €5.81  | €5.97  | €6.16  | €6.32 | €6.43 | €6.54 | €6.71 | €6.86 | 6.97 |
| Average costs per hour for after school care                                  | € 5,71 | € 5,84 | € 5,95 | €6,10  | €6.17 | €6.30 | €6.44 | €6.61 | €6.72 | 6.81 |
| Costs per hour (after school care) first child for parents with an income of: |        |        |        |        |       |       |       |       |       |      |
| - 130% minimum                                                                | € 0,32 | € 0,33 | € 0,43 | € 0,44 | €0.71 | 0,82  | 0,91  | 0,94  | 0,96  | 0.56 |
| - 1,5 x average income                                                        | € 0,89 | € 0,91 | € 1,20 | € 1,22 | €1.65 | 1,91  | 2,12  | 2,11  | 2,16  | 1.77 |
| - 3 x average income                                                          | € 2,39 | € 2,53 | € 3,33 | € 3,27 | €4.13 | 4,24  | 5,24  | 5,25  | 5,36  | 5    |
| Costs per hour next child for parents with an income of:                      |        |        |        |        |       |       |       |       |       |      |
| - 130% minimum                                                                | € 0,21 | € 0,21 | € 0,21 | € 0,22 | €0.26 | 0,45  | 0,46  | 0,48  | 0,49  | 0.41 |
| - 1,5 x average income                                                        | € 0,30 | € 0,31 | € 0,32 | € 0,32 | €0.39 | 0,78  | 0,79  | 0,82  | 0,84  | 0.45 |
| - 3 x average income                                                          | € 0,49 | € 0,51 | € 0,52 | € 0,52 | €0.63 | 1,42  | 1,45  | 1,50  | 1,53  | 1.14 |

The average costs for child care per hour is independent of the number of hours childcare is used.

#### 7.2.1 *Conditions for receipt*

Parents have to meet the following conditions in order to be eligible for child-care benefits:

- Working parents, including single working parents;
- Parents in a reintegration course to work;
- Parents who follow education
- Immigrants taking part in a integration course;
- Child care is needed because of social-medical reasons

#### 7.2.2 *Calculation of benefit amount*

##### 7.2.2.1 *Calculation of gross benefit*

##### 7.2.2.2 *Income and earnings disregards*

#### 7.2.3 *Tax treatment of benefit and interaction with other benefits*

The childcare benefit is not taxable

#### 7.2.4 *Treatment of particular groups*

see 7.2.1.

## **8. Employment-conditional benefits**

An extra single-parent tax credit exists for working lone parents and a tax-credit for all working parents (see section 10.1.1).

### **8.1 *Conditions for receipt***

### **8.2 *Calculation of benefit amount***

#### **8.2.1 *Calculation of gross benefit***

### **8.3 *Tax treatment of benefit and interaction with other benefits***

### **8.4 *Benefit duration***

### **8.5 *Treatment of particular group***

#### **8.5.1 *Young persons***

#### **8.5.2 *Older workers***

#### **8.5.3 *Others if applicable, including disabled***

## **9. Lone-parent benefits**

There is a special tax credit (see section 10), and lone parent families have a specific minimum basic benefit rate (see section 4), but specific benefits do not exist. (see section 10).

### **9.1 Conditions for receipt**

### **9.2 Calculation of benefit amount**

#### *9.2.1 Calculation of gross benefit*

##### *9.2.1.1 Irregular additional payments*

#### *9.2.2 Income and earnings disregards*

### **9.3 Tax treatment of benefit and interaction with other benefits**

### **9.4 Benefit duration**

### **9.5 Treatment of particular group**

#### *9.5.1 Young persons*

#### *9.5.2 Older workers*

#### *9.5.3 Others if applicable, including disabled*

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **11. Tax system**

### **11.1 Income tax**

There are three categories ('boxes') of taxable income:

- Taxable income from work and owner-occupied housing;
- Taxable income from a substantial interest in a limited liability company;
- Taxable income from savings and investments.

This description is limited to the most relevant aspects of taxable income from the first category, 'taxable income from work and owner-occupied housing', because of its relevance for the AW.

#### *11.1.1 Tax allowances and credits*

##### *11.1.1.1 Standard allowances*

Related to wage earnings:

- Employees' social security contributions (see Section 2.1.) are deductible, whereas the health insurance contribution is not deductible. In 2013 the income base for SSC and Income-Tax is harmonised. Standardising or harmonisation of the income tax base for levying SSC and Taxes was introduced in 2013 and was called the Law "WUL" i.e. Harmonising the income base for SSC and Taxes (see publication CPB the Netherlands). So the income tax base is since 2013 exclusive the income dependant health care contribution and employees will no longer have to pay taxes over income dependant health care contributions, instead they pay a higher tax rate in the first tax bracket and mainly Work credit is adjusted. The tax rate in the first tax bracket has been increased from 1.95 % till 5.85 % and the Work credit is reduced for employees with a higher income such that the effect of this harmonisation is budgetary neutral.
- In 2014 this system of harmonisation remains and is operational. Only the income tax rate in the first tax bracket becomes 5.10%. In 2016 the tax rate in the first bracket becomes 8.40%.
- For distances of more than 10 km between home and work, fixed amounts for travel expenses with public transportation are deductible. The maximum deduction for employees who travel by public transport is EUR 1 951 for distances of more than 80 km. If the travel expenses are reimbursed or the employer provides transport, there is no deduction; the reimbursement is untaxed (also for employees who travel by car) if it is below certain specified amounts;
- Employee contributions to private (company provided) pension schemes.

Related to owner-occupied housing:

- Excess of mortgage interest over net imputed rent.

Related to personal circumstances:

#### *Medical expenses and other exceptional expenses:*

Fiscal deduction of exceptional health expenses will be reduced to the specific costs as a result of the chronic illness. As specific costs are seen medical treatment (not paid for by insurance company), diet costs, special medicine described by a doctor, extra domestic care, special expenses for clothing and

transportation costs. Visual tools and insurance premiums are not seen as specific costs and are therefore no longer deductible. As from 2014, expenses for wheelchairs, scooters for the disabled and home adjustments made because of a chronic illness are no longer deductible. All expenses except for medical treatment expenses may be increased by a factor. This factor is income and age dependent. The factor amounts to 1.4 if the person is below the legal pension age and has an income on or below EUR 33 715. The factor amounts to 2.13 if the person is on or above the legal pension age and has an income on or below EUR 33 715. People with an income above EUR 33 751 cannot apply the factor.

For a single person: the specific expenses in excess of 1.65% of income are deductible if income exceeds EUR 7 563 and is below EUR 33 751. If income is lower than or equal to EUR 7 563, the non-deductible limit is EUR 128. For a person with a partner: the joint income is used to determine the non-deductible amounts and the non-deductible limit is EUR 256.

If income exceeds EUR 33 751 the specific expenses in excess of 1.65% of EUR 33 751 increased with 5.75% of income above EUR 33 751 are deductible.

- Some educational expenses: in direct connection with vocational education. Expenses above the threshold of EUR 500 are deductible. Expenses above EUR 15 000 are not deductible; PM still the same amounts?
- Donations to certain institutions (charity) that serve the public good are deductible if in excess of 1% of the income and in excess of EUR 60. No more than 10% of the income may be deducted in this way.

#### 11.1.1.2 Standard tax credits

The tax credits are deducted partly from the income tax liability and partly from the contributions that are made to the general social security schemes (see Section 1.13). For most families, the share of the credit attributed to tax is related to the ratio of the tax rate to the sum of the tax rate and the social security contributions rate in the first bracket of the tax schedule. In 2016, this ratio was 22.98% ( $= 8.40 \% / (8.40 \% + 28.15 \%)$ ), implying that 22.98% of the (tax) credit is attributed to the personal income tax and the remaining 77.02% to social security contributions. If the individual's total tax credit is higher than the total tax and social security contributions levied on the first tax bracket, the shares of the residual amount of the tax credit that are attributed to the personal income tax and social security contributions are based on the rates of deduction in the second tax bracket in order that the employee can benefit from the full amount of the credit where the level of income allows it. As a result, the ratio of the tax rate to the sum of the tax rate and social security contribution rates is increased to 30.32 % for the residual amount in 2016 (i.e.  $12.25 \% / (28.15 \% + 12.25 \%)$ ).

Division of credits for tax and social security contributions is essential in the OECD publications. In the Netherlands no division is made in the general tax scheme between tax and SSC.

Note that the tax/benefit position tables show the total amount of social security contributions net of the credits that are claimed.

- *General tax credit:* The general tax credit is made dependent on income since 2014, meaning that higher incomes receive less general tax credit. Since 2016, the general tax credit is fully phased out, meaning that higher incomes receive no general tax credit. This credit amounts at its maximum EUR 2 242 when no reduction is applicable and taxable income is below or equal to EUR 19 922. For incomes above this threshold, the general tax credit is fully phased out at a rate of 4.822% (per euro). So incomes above EUR 66 417 receive no general tax credit. So the maximum of the general credit reduction is EUR 2 242.

The transfer of the general tax credit of the spouse to the principal will diminish with 6.67% per year in the period 2009-2024, such that in 15 year time the general tax credit for a non-working spouse cannot be capitalised against the tax paid by the principal. This reduction of the transfer of the general tax credit started in 2009. In 2024 the general tax credit can only be capitalised against the tax and premiums paid on own earned income. In 2012 a reduction of the general tax credit for non-working spouses born after 31 December 1962 and before 1 January 1972 is introduced. The reduction will be equal to the reduction of non-working spouses born before 1 January 1963 in year 2015.

- *Work credit* The amount of work credit depends on taxable income from work and is phased in on two trajectories; the first one runs from EUR 0 till EUR 9 147. On this first trajectory, work credit equals 1.793% of taxable income from work. On the second trajectory, which runs from EUR 9 148 till EUR 19 758, the work credit equals EUR 164 plus 27.698% of the part of income that is above EUR 9 147. So at an income of EUR 19 758, the maximum of EUR 3 103 is reached. The work credit stays at its maximum till an income of EUR 34 015. After this threshold, the work credit is fully phased out at a rate of 4% (per euro) so that incomes above EUR 111 590 receive no work credit. 2016 is the first year in which higher incomes receive no work credit.
- *Combination credit*: The combination credit is abolished in 2009.
- *Income dependant combination credit*: The additional combination credit is replaced with the income dependent combination credit. A taxpayer who is either a single parent or the partner with the lowest income, who has children below the age of 12 and has his/her taxable income from work exceeding EUR 4 881, is entitled to an income dependent combination credit of EUR 1 039 plus an extra combination credit of 6.159% of taxable income above EUR 4 881. The maximum total combination credit is EUR 2 769 and reached at an income level of EUR 32 970.
- The child arrangements are modernised and reduced from 10 measurements to 4 measurements. The single parents credits have stopped and instead the cash transfers become more of importance. In the OECD models the adjustments mean an extra cash transfer of EUR 3066 per year for single parents with children and a low income.
- *Single parent credit*: A single parent under certain conditions is entitled to the single parent credit of EUR 947. Has stopped in 2015 see explanation above.
- *Additional single parent credit*: A single parent who is entitled to the single parent credit receives an additional credit of 4.3% of his or her income from work, with a maximum of EUR 1 319. Has stopped in 2015, see explanation above.

The amount of the tax credit is limited to the amount of tax and premiums payable (non-refundable tax credit). If, however, a taxpayer with insufficient income to fully exploit his/her tax credit has a partner with a surplus of tax and premiums payable over his/her own tax credit, the tax credit of the former taxpayer is increased by (at most) the surplus tax and premiums payable by his/her fiscal partner. As a consequence, the tax credit of the former taxpayer will exceed tax and premiums payable, resulting in a payout of the residual tax credit to the taxpayer by the tax authority.

### 11.1.2 *Income tax schedule*

The tax schedule for income from work and owner-occupied housing is as follows:

| Taxable Income<br>(EUR) | Tax Rate<br>(%) | Social security contributions |            |
|-------------------------|-----------------|-------------------------------|------------|
|                         |                 | < 65 years                    | > 65 years |
| 0–19 922                | 8.40            | 28.15                         | 10.25      |

|                |       |       |       |
|----------------|-------|-------|-------|
| 19 922–33 715  | 12.25 | 28.15 | 10.25 |
| 33 715–66 421  | 40.40 | -     | -     |
| 66 421and over | 52    | -     | -     |

The contributions for the general social security schemes are levied on income from work and owner-occupied housing in the first and second income tax bracket. These social security contributions are not deductible for income tax purposes. Individuals of 65 years and older pay 10.25 per cent (for widows and orphans pensions, and exceptional medical expenses). Individuals younger than 65 years pay 28.15 per cent, (for widows and orphans pensions, exceptional medical expenses, and old age income provision). For further information see Section 2.1.

In 2015 the SSC for specific medical expenses and long term health care is modernised. The rate (For AWBZ) is therefore reduced with 3% points and instead the tax rates in the first two brackets are raised with 3% points. The spendings for long term health care are reduced due to more responsibility for your own living in long term. These Social spendings will be used for other general social purposes and therefore the tax rates in the first two brackets are raised.

### 11.1.3 *State and local income taxes*

None.

## 11.2 *Treatment of family income*

Husband and wife are taxed separately on their personal income, which includes, besides income from business, profession and employment, all pensions and social security benefits. Certain parts of income may be freely split between husband and wife, such as the net-income from owner-occupied housing and the income from savings and investments.

## 11.3 *Social security contribution schedule*

### 11.3.1 *Contributions payable by employees and benefit recipients*

Schemes for employees:

- Unemployment: 0% of the gross earnings below EUR 52 763 (this contribution is only for the general unemployment fund); employees do not have to pay an unemployment premium in order to reduce administration costs. Employers pay both an unemployment premium and a premium for invalidity for their employees (see par.2.2).
- For basic health insurance each adult pays an average amount of EUR 1 199 a year to a self-chosen private health insurance company. Employees might obtain compensation for this nominal contribution, depending on the household's personal situation and taxable income. This is called the health care benefit. This benefit is included in the NTCP calculations as it compensates for the basic health insurance premium of on average EUR 1 199. Also 6.75% of gross earnings net of employees' pension premiums and unemployment social security contributions is paid for health care until a maximum of net earnings of EUR 52 763.

- Employees might obtain compensation for the nominal contribution of on average EUR 1 199 for the basic health insurance, depending on the household's personal situation and taxable income. This is called the health care benefit. The care benefit is calculated as follows:
- *Single parent households*:  $1468 - 2.380\% * 19\,759 - 13.43\% * (\text{taxable income} - 19\,759)$
- *Married couples*:  $\text{number of adults} * 1468 - 5.22\% * 19\,759 - 13.43\% * (\text{taxable income principal and spouse} - 19\,759)$ .
- *Old age pension*: The age is adjusted such that elderly will receive Old Age (state) pension at the age of 66 years old in 2018 and at 67 years old in 2021. The Old age premium percentage is 17.9 per cent of taxable income in the first and second tax bracket. This scheme does not apply to individuals aged 65 and two month( and in future aged 66 or 67) or older;
- *Widows and orphans pension*: 0.60 per cent of taxable income in the first and second tax bracket;
- *Exceptional medical expenses and disability*: 9.65% of taxable income in the first and second tax bracket..

#### 11.3.2 *Contributions payable by employers*

- *Unemployment*: 2.44% of gross earnings below EUR 52 763 for the general unemployment fund and a contribution of 1.78% of gross earnings below EUR 52 763 for the industrial insurance associations redundancy payments fund;
- *Invalidity*: 7.50% of gross earnings below EUR 52 763;
- For medical care employers contribute 6.75% of gross earnings net of employees' pension premiums and unemployment social security contributions until a maximum of gross earnings of EUR 52 763. The spending of this fund mainly compensates private insurance companies for their (public) obligation to insure individuals with a high health risk.

#### 11.3.3 *Payroll taxes*

### 11.4 *Treatment of particular group*

#### 11.4.1 *Young persons*

#### 11.4.2 *Older workers*

#### 11.4.3 *Others if applicable*

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **12. Part-time work**

### **12.1 *Benefit rules for part-time work***

Seasonal workers have different qualifying conditions for the basic unemployment insurance benefit.

### **12.2 *Special tax and social security contribution rules for part-time work***

Reference date for all information is **July 1<sup>st</sup> 2016**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

### **13. Policy developments**

**13.1** *Policy changes introduced: 2<sup>nd</sup> July 2015 – 1<sup>st</sup> July 2016*

**13.2** *Future policy changes announced since 1<sup>st</sup> July 2016*

## **ANNEX**

### **DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.**

The following text has been adapted from Annex A of the *OECD Revenue Statistics*.

#### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

#### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

#### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.